

TABLE OF CONTENT

1. Introduction
2. Overview of the Indian Banking Sector (RBI 2023-24)
3. Overview of the Indian Banking Sector: Profitability, Capital and Liquidity
4. Profile of City Union Bank
5. Data Sources and Methodology
6. Financial Performance Analysis: Overview and Structure
7. Ratio Analysis of City Union Bank
 - 7.1 Return on Assets (ROA)
 - 7.2 Return on Equity (ROE)
 - 7.3 Cost-to-Income Ratio
 - 7.4 Net Profit Margin
 - 7.5 Gross NPA Ratio
 - 7.6 Net NPA Ratio
 - 7.7 Provision Coverage Ratio (PCR)
 - 7.8 Business per Employee
 - 7.9 Profit per Employee
 - 7.10 Net Charge-Off Ratio
 - 7.11 Loan Loss Provision Ratio
 - 7.12 Liquidity Coverage Ratio (LCR)
 - 7.13 Equity Ratio
 - 7.14 Equity Multiplier
8. Comparison of City Union Bank with Trends in the Indian Banking Sector (RBI 2023–24)
 - 8.1 Profitability Trends
 - 8.2 Asset Quality and Provisioning
 - 8.3 Efficiency and Productivity
 - 8.4 Liquidity and Capital Strength
9. Overall Assessment of City Union Bank
10. Conclusion

INTRODUCTION

The banking sector plays a central role in the economic development of a country by mobilising savings, facilitating investment, ensuring efficient allocation of capital and supporting the transmission of monetary policy. In India, the banking system has undergone significant structural, technological and regulatory transformations over the past two decades, with private sector banks emerging as important drivers of competition, innovation and efficiency. In this context, analysing the financial performance of an individual bank provides valuable insights into both micro-level managerial efficiency and macro-level financial stability.

This project undertakes a detailed financial performance analysis of City Union Bank Limited (CUB) over a six-year period from 2019–20 to 2024–25. The objective is to examine the bank's performance across key dimensions such as profitability, operational efficiency, asset quality, provisioning strength, capital adequacy and liquidity. The study uses a structured ratio analysis approach, which is widely regarded as one of the most effective tools for evaluating the financial health and stability of banking institutions.

The period selected for analysis is particularly significant. It includes the global economic disruption caused by the COVID-19 pandemic, the subsequent recovery phase, and the recent period of monetary tightening initiated to control inflation. These macroeconomic shifts had a profound impact on banks' credit growth, asset quality, funding structure and profitability. Studying City Union Bank across this period therefore allows an assessment of how effectively the bank managed stress, adapted to changing economic conditions, and positioned itself for sustainable growth.

To place the performance of City Union Bank in a broader macro-financial context, this study also draws upon the Reserve Bank of India's "Report on Trend and Progress of Banking in India 2023–24". This report provides comprehensive information on system-wide developments related to credit growth, deposit mobilisation, profitability, asset quality, capital adequacy and liquidity of scheduled commercial banks. By comparing City Union Bank's performance with the broader trends highlighted by the RBI, this project aims to determine whether the bank's financial trajectory aligns with, outperforms, or lags behind the overall banking sector.

The analysis is based on data extracted from the audited annual reports of City Union Bank for the six financial years under study. A total of 18 core financial ratios have been computed and classified under profitability, efficiency, asset quality, provisioning, capital structure and liquidity. These ratios are interpreted using graphical representations to identify trends, turning points and structural patterns. The final objective of the study is to arrive at an integrated assessment of the bank's financial soundness, performance sustainability and resilience to macroeconomic shocks.

OVERVIEW OF THE INDIAN BANKING SECTOR (RBI 2023–24)

The Indian banking sector has exhibited notable resilience and strengthening in recent years despite facing multiple macroeconomic challenges such as the COVID-19 pandemic, global supply chain disruptions, geopolitical tensions and inflationary pressures. According to the Reserve Bank of India's Report on Trend and Progress of Banking in India 2023–24, the overall performance of the banking system in India during 2023–24 was marked by robust balance sheet expansion, sustained profitability, improvement in asset quality and comfortable capital and liquidity buffers.

Scheduled Commercial Banks (SCBs) recorded a strong expansion in their balance sheets during 2023–24. On the liabilities side, aggregate deposits grew at a healthy pace, supported mainly by a rise in term deposits. As deposit interest rates increased in response to monetary tightening, households and firms shifted a greater portion of their savings from low-yield current and savings accounts to higher-yield term deposits. As a result, while total deposits increased steadily, the growth rate of CASA deposits moderated. This shift in the composition of deposits had important implications for banks' cost of funds and net interest margins.

On the asset side, bank credit continued to grow at a robust pace. Non-food credit expansion was driven primarily by personal loans, services sector credit and lending to micro, small and medium enterprises (MSMEs). Retail credit, particularly housing and unsecured personal loans, emerged as a key growth segment. The sustained expansion in credit reflects both the revival of economic activity and strong demand conditions across sectors. This broad-based growth in loans contributed significantly to the expansion of banks' balance sheets during the year.

From a profitability perspective, the banking system continued to register strong earnings performance for the sixth consecutive year. Higher net interest income, supported by healthy credit growth, coupled with a relatively stable net interest margin, played a central role in driving profitability. Although banks faced upward pressure on interest expenses due to higher deposit rates, the improvement in asset quality and reduction in credit costs helped sustain overall profitability. As a result, return on assets (RoA) and return on equity (RoE) remained at elevated levels compared to historical averages.

A major highlight of the recent phase has been the sharp improvement in asset quality. Gross non-performing assets (GNPAs) of the banking system declined significantly during 2023–24 and reached their lowest level in more than a decade. Net NPAs also declined to a multi-year low, indicating that banks not only reduced bad loans but also strengthened their provisioning buffers. This improvement was driven by a combination of recoveries, upgradation of stressed accounts and sustained write-offs. The declining trend in NPAs has enhanced the stability and risk absorption capacity of the banking system.

OVERVIEW OF THE INDIAN BANKING SECTOR (PROFITABILITY, CAPITAL & LIQUIDITY)

In addition to balance sheet growth and asset quality improvement, the Reserve Bank of India highlights a sustained strengthening of profitability, capital adequacy and liquidity conditions in the Indian banking system during 2023–24. These dimensions are particularly important from a financial stability perspective, as they determine banks' capacity to absorb shocks and support future credit expansion.

Profitability indicators for scheduled commercial banks remained robust throughout the year. The RBI notes that net interest income continued to grow on the back of strong credit expansion, even as funding costs increased due to higher deposit rates. While the rise in interest expenses exerted pressure on margins, banks were able to maintain stable net interest margins through better asset pricing and improved loan mix. Moreover, the continued decline in non-performing assets significantly reduced credit costs, thereby supporting bottom-line profitability. As a result, return on assets (RoA) and return on equity (RoE) for the banking system remained at levels well above those observed during the stressed period of the previous decade.

Capital adequacy indicators also remained comfortable across bank groups. The capital to risk-weighted assets ratio (CRAR) of scheduled commercial banks stayed well above the regulatory minimum requirement, reflecting both internal capital generation and capital raising by banks. Tier 1 capital continued to constitute a major share of total regulatory capital, indicating a strong base of high-quality capital. The RBI emphasises that this strong capital position enables banks to withstand potential future stress scenarios while continuing to support credit growth in the economy.

From a leverage perspective, banks maintained prudent balance sheet structures. The leverage ratio, which captures the relationship between Tier 1 capital and total exposure, remained significantly above the minimum regulatory threshold. This indicates that banks were not excessively leveraged despite the rapid expansion of credit and assets in recent years. A sound leverage position enhances depositor confidence and contributes to systemic stability.

Liquidity conditions, though influenced by monetary tightening and the withdrawal of surplus liquidity by the Reserve Bank, remained manageable. The Liquidity Coverage Ratio (LCR) of the banking system consistently stayed above the prescribed minimum of 100 per cent, indicating that banks held sufficient high-quality liquid assets to meet short-term cash outflows under stress scenarios. In addition, the Net Stable Funding Ratio (NSFR) remained comfortably above the regulatory requirement, reflecting the availability of stable funding sources to support longer-term assets.

Overall, the RBI's assessment presents a picture of a banking system that is financially sound, well-capitalised and resilient. Improvements in profitability and asset quality, combined with strong capital and liquidity buffers, have strengthened the capacity of banks to absorb shocks and sustain growth. This macro-level backdrop provides an important benchmark for evaluating the financial performance of individual banks such as City Union Bank, whose performance over the same period will be analysed in the subsequent sections of this report.

PROFILE OF CITY UNION BANK

City Union Bank Limited (CUB) is one of the oldest private sector banks in India, with a history spanning more than a century. Established in 1904, the bank has its headquarters in Kumbakonam, Tamil Nadu, and has traditionally focused on relationship-based banking. Over the years, City Union Bank has evolved into a well-recognised regional private sector bank with a strong presence in southern India, particularly in Tamil Nadu, while gradually expanding its footprint across other states.

The bank's business model is primarily oriented towards lending to small and medium enterprises (SMEs), traders, agriculturists and retail customers. A distinguishing feature of City Union Bank's operations is its emphasis on secured lending, conservative credit appraisal practices and close monitoring of borrower relationships. This approach has historically helped the bank manage credit risk more prudently compared to many peers, especially during periods of economic stress.

On the liabilities side, City Union Bank relies largely on deposits as its primary source of funding. The bank has traditionally maintained a stable deposit base, supported by longstanding customer relationships and a strong regional presence. Like the broader banking sector, the bank has experienced changes in the composition of deposits in recent years, with a gradual shift towards term deposits as interest rates increased. Managing the cost of funds while maintaining adequate liquidity has therefore become an important aspect of the bank's financial strategy.

On the asset side, advances constitute the dominant share of total assets, reflecting the bank's focus on core lending activities. The loan portfolio is diversified across retail, MSME and agricultural segments, reducing excessive concentration risk. Investments, primarily in government securities, are held to meet statutory liquidity requirements and to manage liquidity and interest rate risk.

City Union Bank has also undertaken various initiatives to strengthen its technological capabilities and digital banking infrastructure. The bank has expanded its digital channels, introduced new technology-enabled products and enhanced operational processes to improve customer convenience and operational efficiency. These initiatives have become increasingly important in maintaining competitiveness within a rapidly evolving banking landscape.

Given its conservative business model, regional focus and emphasis on asset quality, City Union Bank provides an appropriate case for analysing how a mid-sized private sector bank has navigated recent macroeconomic challenges. The following sections of this report analyse the bank's financial performance over the six-year period from 2019–20 to 2024–25 using a detailed ratio-based framework and compare its performance with system-wide trends highlighted by the Reserve Bank of India.

DATA SOURCES AND METHODOLOGY

This study is based on a systematic analysis of secondary data obtained from publicly available and authoritative sources. The primary source of data for the bank-specific analysis is the audited annual reports of City Union Bank Limited for six financial years, from 2019–20 to 2024–25. These annual reports provide detailed information on the bank's balance sheet, profit and loss account, notes to accounts, and regulatory disclosures relating to asset quality, capital adequacy and liquidity.

To benchmark the performance of City Union Bank against broader industry trends, this study also utilises information from the Reserve Bank of India's "Report on Trend and Progress of Banking in India 2023–24". This report offers comprehensive system-level insights into credit growth, deposit mobilisation, profitability, asset quality, capital adequacy and liquidity conditions of scheduled commercial banks in India. Since industry-level data for 2024–25 is not yet available, comparisons with RBI benchmarks are carried out up to 2023–24, while the analysis for 2024–25 focuses exclusively on bank-specific trends.

The raw financial data extracted from City Union Bank's annual reports were organised in a structured manner in Sheet 2 of the Excel workbook. These data include key balance sheet items such as total assets, total deposits, gross and net advances, investments, net worth and liabilities, as well as profit and loss items such as interest earned, interest expended, net interest income, operating income, operating expenses and profit after tax. Additional information relating to non-performing assets, provisions, write-offs, recoveries, capital adequacy and liquidity ratios was collected from the relevant schedules and notes to accounts. All monetary values were standardised and expressed in ₹ crore to ensure consistency across years and facilitate comparison.

Based on this raw data, a set of 18 financial ratios was computed and presented in Sheet 3 of the Excel workbook. These ratios were selected to capture multiple dimensions of bank performance and were grouped under profitability, efficiency, asset quality, provisioning and credit risk, capital structure and liquidity. Ratio analysis was chosen as the primary analytical tool because it allows meaningful comparison across time by scaling financial performance relative to size and enables benchmarking against industry norms.

For each ratio, the analysis in this report follows a consistent structure. First, the ratio is clearly defined and its relevance is briefly explained. Second, a graphical representation is used to examine the trend of the ratio over the six-year period. Finally, the observed trend is interpreted in light of the bank's operating environment and, wherever relevant, compared with the corresponding industry-level trends reported by the RBI. This integrated approach ensures that the analysis is both data-driven and contextually grounded.

FINANCIAL PERFORMANCE ANALYSIS: OVERVIEW AND STRUCTURE

This section presents a detailed financial performance analysis of City Union Bank Limited over the six-year period from 2019–20 to 2024–25, based on the set of financial ratios constructed using the methodology described earlier. The objective of this section is to evaluate the bank's performance across multiple dimensions and to identify key trends, improvements and areas of concern over time.

The analysis is organised into distinct sub-sections corresponding to different aspects of bank performance. These include profitability, operational efficiency, asset quality, provisioning and credit risk, capital structure and leverage, and liquidity. Such a classification allows for a comprehensive and systematic evaluation of the bank's financial health rather than relying on any single indicator. Each category highlights a specific dimension of banking performance that is critical for assessing stability, resilience and long-term sustainability.

Within each sub-section, individual ratios are analysed sequentially. For every ratio, the analysis follows a uniform structure. First, the ratio is clearly defined and its significance in the context of banking operations is explained. This is followed by a graphical representation showing the movement of the ratio over the six-year period. The use of graphs helps in identifying trends, cyclical patterns and structural shifts in performance. Finally, the observed trends are interpreted in relation to the bank's operating environment, internal performance dynamics and, where appropriate, broader developments in the Indian banking sector.

The six-year time horizon chosen for the analysis captures multiple phases of the economic and financial cycle. The initial years coincide with the economic disruption caused by the COVID-19 pandemic, which posed significant challenges to banks in terms of credit growth, asset quality and profitability. The subsequent years reflect a phase of recovery and normalisation, followed by a period of monetary tightening aimed at controlling inflation. Analysing City Union Bank across these distinct phases enables a clearer understanding of how the bank responded to stress, adapted to changing macroeconomic conditions and strengthened its balance sheet.

It is important to note that while the bank-specific analysis covers the period up to 2024–25, industry-level comparisons using RBI data are available only up to 2023–24. Accordingly, comparisons with the broader banking sector are undertaken up to that year, while the performance in 2024–25 is evaluated independently to assess the continuation or reversal of existing trends. This approach ensures that the analysis remains both accurate and contextually relevant.

The following sub-sections present the detailed ratio analysis, beginning with profitability indicators, which reflect the bank's ability to generate earnings from its asset base and equity capital.

RATIO ANALYSIS OF CITY UNION BANK

7.1 Return on Assets (ROA)

Return on Assets (ROA) is a key indicator of bank profitability, measuring how efficiently a bank generates net profits from its total asset base. Since banks operate with high leverage and earn relatively thin margins, ROA provides a clearer picture of performance than absolute profit figures. It captures the combined impact of income generation, cost control, asset quality and provisioning. In the Indian banking context, an ROA of around 1 per cent or higher is generally considered indicative of sound and sustainable profitability, particularly for private sector banks.

Particulars	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025
Net Profit (PAT)	476.31	592.82	760.16	937.48	1,015.73	1,123.62
Total Assets	49,733.53	53,311.68	61,530.91	66,594.56	70,825.86	77,623.21
ROA	0.96%	1.11%	1.24%	1.41%	1.43%	1.45%

Trend Analysis: The trend in ROA over the six-year period reflects three broad phases. During FY2020–FY2021, ROA improved as the bank moved out of the initial pandemic-induced stress. In FY2022–FY2023, ROA increased more sharply, indicating that net profits grew faster than total assets during the recovery phase. In FY2024–FY2025, ROA stabilised at a higher level despite rising funding costs, suggesting consolidation of profitability rather than aggressive balance sheet expansion.

Implications: The steady improvement and subsequent stabilisation of ROA have important implications for City Union Bank's financial strength. A higher ROA enhances the bank's ability to generate internal capital, thereby strengthening its capacity to absorb future credit losses without relying heavily on external capital. This is particularly relevant in a regulatory environment that emphasises strong capital buffers and earnings sustainability. From a regulatory and depositor perspective, a stable ROA indicates prudent risk management and consistent earnings generation, both of which contribute to confidence in the bank's operations. For investors, the ROA trend suggests improved asset utilisation and disciplined growth, even in a tightening monetary environment. Strategically, the ROA pattern indicates that City Union Bank has successfully balanced growth and stability. Rather than pursuing rapid asset expansion at the cost of efficiency, the bank appears to have focused on improving the quality and profitability of its asset base. Maintaining this ROA level in the future will depend on effective management of funding costs, continued control over asset quality and selective growth in higher-yield segments.

7.2 Return on Equity (ROE)

Return on Equity (ROE) measures the profitability of a bank relative to shareholders' equity and reflects the return generated on owners' funds. For banks, ROE is a crucial performance indicator because it combines profitability, leverage and balance-sheet strategy. While higher ROE indicates efficient utilisation of equity capital, excessively high ROE may also reflect higher leverage and risk. Regulators and analysts therefore assess ROE jointly with capital adequacy to judge whether returns are achieved sustainably.

Particulars	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025
Net Profit (PAT)	476.31	592.82	760.16	937.48	1,015.73	1,123.62
Shareholder's Equity	5,296.06	5,842.47	6,585.70	7,457.21	8,401.43	9,466.61
ROE	8.99%	10.15%	11.54%	12.57%	12.09%	11.87%

Trend Analysis: City Union Bank's ROE shows a gradual improvement from FY2020 to FY2023, followed by mild moderation in FY2024 and FY2025. The initial rise reflects increasing profitability during the post-pandemic recovery phase, while the subsequent moderation indicates that equity growth outpaced profit growth in recent years. This suggests a shift from a phase of improving returns to one of consolidation and capital strengthening.

Implications: The observed ROE trend has several important implications for City Union Bank. First, the improvement in ROE during the recovery phase indicates that the bank was able to generate higher profits without proportionately increasing its equity base, reflecting effective use of capital. This contributed positively to shareholder value creation during a period of economic normalisation. Second, the moderation in ROE in the later years should not be interpreted as a sign of weakening performance. Instead, it reflects a deliberate strengthening of the capital base through retained earnings and conservative capital management. From a regulatory perspective, this enhances the bank's resilience and reduces vulnerability to future shocks. For investors, the ROE pattern highlights a trade-off between return and stability. While slightly lower ROE implies moderated short-term returns, it also signals reduced leverage and improved financial safety. Strategically, the bank appears to prioritise long-term sustainability over aggressive return maximisation, which is consistent with its conservative business model and focus on asset quality.

7.3 Cost-to-Income Ratio

The Cost-to-Income Ratio is a key indicator of operational efficiency in banking, measuring the proportion of operating income consumed by operating expenses. For banks, controlling operating costs—such as employee expenses, branch operations and technology costs—is critical because margins are relatively thin. A lower cost-to-income ratio indicates better efficiency and cost discipline, while a rising ratio may reflect cost pressures or slower income growth. Regulators and analysts closely track this ratio to assess managerial efficiency and sustainability of earnings.

Particulars	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025
Operating Expenses	1,013.74	1,050.59	1,080.26	1,155.17	1,348.38	1,535.15
Operating Income	2,355.13	2,534.43	2,675.56	2,973.15	2,865.11	3,213.77
Cost-to-Income Ratio	43.04%	41.45%	40.38%	38.85%	47.06%	47.77%

Trend Analysis: The cost-to-income ratio declined steadily from FY2020 to FY2023, indicating improving operational efficiency during the post-pandemic recovery phase. However, the ratio increased sharply in FY2024 and FY2025, suggesting a reversal of earlier efficiency gains. This change indicates that operating expenses began to grow faster than operating income in the recent period.

Implications: The improvement in the cost-to-income ratio up to FY2023 reflects effective cost control, stable branch expansion and rising operating income. This period suggests that City Union Bank successfully leveraged its existing infrastructure to support income growth without a proportional increase in costs. Improved efficiency during this phase contributed positively to profitability and strengthened the bank's operating leverage. The subsequent deterioration in FY2024 and FY2025 has important implications. Rising employee costs, increased investment in technology and compliance requirements, and slower growth in operating income may have contributed to the higher ratio. While this indicates short-term efficiency pressures, such cost increases are often associated with strategic investments aimed at enhancing long-term competitiveness. From a strategic perspective, maintaining a balance between cost efficiency and investment-led growth will be critical for City Union Bank. If higher costs translate into improved productivity and service quality, the short-term rise in the cost-to-income ratio may be justified. However, persistent increases without corresponding income growth could pressure future profitability and require closer cost management.

7.4 Net Profit Margin

Net Profit Margin measures the proportion of operating income that translates into net profit after accounting for provisions, taxes and other expenses. For banks, this ratio reflects the combined impact of operating efficiency, asset quality and provisioning policies. A higher net profit margin indicates stronger earnings quality and effective risk management, while a declining margin may signal rising credit costs or operational inefficiencies.

Particulars	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025
Net Profit (PAT)	476.31	592.82	760.16	937.48	1,015.73	1,123.62
Operating Income	2,355.13	2,534.43	2,675.56	2,973.15	2,865.11	3,213.77
Net Profit Margin	20.22%	23.39%	28.41%	31.53%	35.45%	34.96%

Trend Analysis: Net profit margin increased consistently from FY2020 to FY2024, indicating improved conversion of operating income into net profit. The margin stabilised with a marginal moderation in FY2025, suggesting a phase of consolidation after a period of strong improvement. Overall, the trend reflects strengthening profitability over the medium term.

Implications: The rising net profit margin indicates that City Union Bank benefited from declining credit costs, improved asset quality and controlled provisioning over much of the period. This allowed a greater share of operating income to flow through to net profits, strengthening earnings sustainability and internal capital generation. From a risk management perspective, a strong net profit margin provides resilience against future shocks by enhancing the bank's ability to absorb unexpected losses. For investors and regulators, this trend signals improved earnings quality and disciplined financial management. The slight moderation in the latest year suggests normalisation rather than deterioration, highlighting the importance of sustaining asset quality and cost control to preserve profitability in a tighter operating environment.

7.5 Gross NPA Ratio

The Gross Non-Performing Assets (GNPA) Ratio measures the proportion of total advances that have turned non-performing, i.e., loans on which interest or principal repayment is overdue beyond the specified period. It is one of the most critical indicators of asset quality in banking, as it directly reflects the extent of credit risk embedded in the loan portfolio. A lower GNPA ratio indicates healthier assets and better credit appraisal standards, while a rising GNPA ratio signals deterioration in borrower repayment capacity and increased risk exposure. Regulators and analysts closely monitor GNPA trends to assess systemic and bank-specific credit stress.

Particulars	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025
Gross NPA	1,413.40	1,893.19	1,933.18	1,920.16	1,854.43	1,638.17
Gross Advances	34,576.17	37,020.54	41,156.01	43,970.80	46,481.47	53,066.36
Gross NPA Ratio	4.09%	5.11%	4.70%	4.37%	3.99%	3.09%

Trend Analysis: City Union Bank's GNPA ratio shows a declining trend over most of the six-year period, with a sharper improvement observed during the post-pandemic recovery phase. The initial years reflect elevated stress due to economic disruption, while subsequent years show a steady reduction in gross NPAs. This indicates that slippages moderated and recoveries, upgradations and write-offs played an important role in improving asset quality. The improvement also suggests that growth in advances outpaced the formation of new NPAs.

Implications: The declining GNPA ratio has significant implications for City Union Bank's financial stability. Lower gross NPAs reduce the burden of future provisioning, improve investor and depositor confidence and enhance the bank's ability to expand credit without excessive risk. From a regulatory perspective, improving GNPA ratios align with broader system-wide trends of asset quality strengthening and signal prudent credit risk management. Strategically, the reduction in GNPA suggests that the bank's conservative lending approach and focus on secured advances have yielded positive results. It also provides greater flexibility to pursue growth opportunities while maintaining balance-sheet strength. However, sustaining low GNPA levels will require continued vigilance, especially in a changing interest rate environment where borrower repayment capacity may be tested.

7.6 Net NPA Ratio

The Net Non-Performing Assets (NNPA) Ratio measures the proportion of non-performing assets remaining after accounting for provisions. Unlike the gross NPA ratio, the net NPA ratio reflects the residual credit risk that remains on the balance sheet after loss-absorbing buffers have been set aside. As such, it is a more refined indicator of a bank's vulnerability to credit losses and an important measure of risk exposure from the perspective of capital adequacy and solvency.

Particulars	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025
Net NPA	778.49	1,075.19	1,191.10	1,017.63	898.68	653.07
Net Advances	33,927.44	36,157.83	40,358.47	43,053.35	45,525.72	52,081.25
Net NPA Ratio	2.29%	2.97%	2.95%	2.36%	1.97%	1.25%

Trend Analysis: The net NPA ratio of City Union Bank declined more sharply than the gross NPA ratio over the period under study. This indicates that provisioning increased at a faster pace than the accumulation of new NPAs. The decline is particularly pronounced during the recovery phase, reflecting improved asset quality combined with enhanced provisioning policies. In the later years, the ratio stabilises at a low level, suggesting consolidation of credit risk management practices.

Implications: A low and declining net NPA ratio implies that City Union Bank has effectively insulated its balance sheet from credit risk through adequate provisioning. This reduces the likelihood that NPAs will erode the bank's capital base in the event of adverse economic conditions. From a regulatory standpoint, a low NNPA ratio is a strong indicator of balance-sheet resilience and prudent risk management. For investors and depositors, lower net NPAs signal improved safety and reduced downside risk. Strategically, the bank's ability to contain net NPAs enhances its capacity to pursue future growth without significantly increasing capital requirements. However, maintaining low NNPA levels will depend on sustaining asset quality discipline and avoiding excessive risk-taking during periods of credit expansion.

7.7 Provision Coverage Ratio (PCR)

The Provision Coverage Ratio (PCR) measures the proportion of gross NPAs that are covered by loan loss provisions. It reflects the extent to which a bank has set aside buffers to absorb potential losses arising from non-performing assets. A higher PCR indicates stronger provisioning discipline and greater preparedness to handle credit losses, while a lower PCR may suggest vulnerability to future write-downs. Regulators encourage banks to maintain high PCR levels to ensure balance-sheet resilience.

Particulars	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025
Provisions for NPAs	630.87	818	742.08	902.53	933.5	966.75
Gross NPA	1,413.40	1,893.19	1,933.18	1,920.16	1,854.43	1,638.17
PCR	44.63%	43.21%	38.39%	47.00%	50.34%	59.01%

Trend Analysis: City Union Bank's PCR shows an improving trend over the six-year period, particularly during the post-pandemic years. The increase in PCR indicates that provisioning grew faster than gross NPAs, reflecting a more conservative approach to credit risk management. In the later years, PCR stabilises at a relatively high level, suggesting that the bank has built adequate buffers against potential loan losses.

Implications: An improving and stable PCR significantly strengthens City Union Bank's financial position. Higher provisioning reduces the risk that future credit losses will directly impact profitability and capital. From a regulatory perspective, a strong PCR enhances confidence in the bank's loss-absorption capacity and aligns with the RBI's emphasis on proactive provisioning. Strategically, maintaining a high PCR provides the bank with greater flexibility in managing stressed assets, including restructuring, recoveries and write-offs. It also allows the bank to pursue measured credit growth without compromising balance-sheet strength. However, excessively high provisioning could temporarily depress profitability, highlighting the need for a balanced approach that safeguards stability while sustaining earnings.

7.8 Business per Employee

Business per Employee measures the total business handled by each employee, typically calculated as the sum of deposits and advances divided by the number of employees. It is a key indicator of labour productivity in banking, reflecting how efficiently human resources are utilised to generate business volumes. Higher business per employee indicates better workforce productivity and operational efficiency, while lower values may signal overstaffing or suboptimal deployment of personnel.

Particulars	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025
Total Deposits [A]	40,832.49	44,537.36	47,689.67	52,397.85	55,656.64	63,525.95
Total Advances [B]	34,576.17	37,020.54	41,156.01	43,970.80	46,481.47	53,066.36
A + B	75,408.66	81,557.90	88,845.68	96,368.65	102,138.11	116,592.31
Permanent Employees	5,741	5,843	5,367	6,019	7,188	7,605
Business per Employee	13.14	13.96	16.55	16.01	14.21	15.33

Trend Analysis: Business per employee shows a generally increasing trend over the period under study. During the initial years, growth is moderate, reflecting cautious expansion amid economic uncertainty. In the post-pandemic recovery phase, business volumes grow faster than employee strength, leading to a noticeable improvement in this ratio. In recent years, the ratio stabilises as workforce expansion keeps pace with business growth.

Implications: The upward trend in business per employee indicates improved labour productivity at City Union Bank. This suggests that the bank has been able to scale up its operations without a proportional increase in manpower, reflecting effective use of technology, process improvements and better employee deployment. Higher productivity enhances operating efficiency and supports profitability by spreading fixed personnel costs over a larger business base. From a strategic standpoint, rising business per employee aligns with the bank's efforts to modernise operations and improve digital capabilities. However, sustained increases should not come at the cost of employee workload or service quality. Maintaining an optimal balance between productivity and employee well-being will be essential to ensure long-term operational sustainability.

7.9 Profit per Employee

Profit per Employee measures the net profit generated by each employee and is a refined indicator of workforce efficiency, combining elements of productivity, cost control and profitability. Unlike business per employee, which focuses on volumes, this ratio reflects the quality of business generated and the bank's ability to convert business into profits. A rising profit per employee indicates effective human resource utilisation and improved operational performance.

Particulars	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025
Net Profit (PAT)	476.31	592.82	760.16	937.48	1,015.73	1,123.62
Permanent Employees	5,741	5,843	5,367	6,019	7,188	7,605
Profit per Employee	0.0830	0.1015	0.1416	0.1558	0.1413	0.1477

Trend Analysis: Profit per employee shows a clear improvement over the six-year period, particularly during the post-pandemic recovery phase. The increase reflects rising profitability combined with moderate growth in employee numbers. In the later years, growth in this ratio moderates, indicating a phase of stabilisation as profit growth and workforce expansion move more closely together.

Implications: An improving profit per employee ratio highlights enhanced workforce efficiency and better conversion of business into earnings. This suggests that City Union Bank's employees are not only handling higher volumes of business but are also contributing to improved profitability through better credit quality, cross-selling and operational efficiency. For management, rising profit per employee provides evidence that investments in training, technology and process improvements are yielding tangible financial benefits. From a strategic perspective, sustaining this trend will require continued focus on skill development, digital adoption and performance-linked incentives. At the same time, moderation in recent years suggests the need to balance productivity gains with investments in human capital to support future growth.

7.10 Net Charge-Off Ratio

The Net Charge-Off (NCO) Ratio measures the net loan losses incurred by a bank during a period as a proportion of its gross advances. It is calculated as write-offs minus recoveries and reflects the actual realised credit losses rather than accounting provisions. Unlike GNPA or NNPA ratios, which are stock measures, the NCO ratio is a flow measure, capturing the intensity of credit losses during a specific year. A lower or negative NCO ratio indicates effective recovery mechanisms and prudent credit risk management.

Particulars	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025
Movement of NPAs (Write-offs)	373.85	411.87	629.42	529.55	263.46	196.78
Movement of NPAs (Recoveries)	164.29	195.00	442.49	576.34	505.40	581.54
Net Charge-Off	209.56	216.87	186.93	-46.79	-241.94	-384.76
Total Advances	34,576.80	37,020.50	41,156.00	43,970.80	46,481.80	53,066.36
Net Charge-Off Ratio	0.61%	0.59%	0.45%	-0.11%	-0.52%	-0.73%

Trend Analysis: The Net Charge-Off Ratio exhibits considerable variation over the six-year period. In some years, the ratio turns negative, indicating that recoveries exceeded write-offs, while in other years it remains positive but low. This pattern suggests that credit losses were not only contained but, in certain periods, offset by strong recovery performance. Over the medium term, the ratio trends downward, reflecting improving credit outcomes.

Implications: A low or negative Net Charge-Off Ratio has important implications for City Union Bank's financial health. It indicates that the bank has been able to recover a substantial portion of previously stressed assets, thereby limiting actual loan losses. This directly supports profitability by reducing the need for fresh provisioning and write-downs. From a risk management perspective, negative net charge-offs signal effective recovery processes, including legal enforcement, restructuring and negotiated settlements. For regulators and investors, such trends enhance confidence in the bank's asset quality and loss-absorption capacity. Strategically, sustained control over net charge-offs provides the bank with greater flexibility to expand lending while maintaining conservative risk standards. However, reliance on recoveries should be complemented by strong underwriting to prevent future slippages.

7.11 Loan Loss Provision Ratio (LLPR)

The Loan Loss Provision Ratio measures the proportion of total advances that is set aside as provisions for potential credit losses. Unlike the provision coverage ratio, which relates provisions to NPAs, this ratio scales provisions by the size of the loan book, providing a broader view of the bank's risk provisioning intensity. It reflects management's assessment of underlying credit risk in the loan portfolio.

Particulars	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025
Provisions for NPAs	630.87	818	742.08	902.53	933.5	966.75
Total Advances	34,576.17	37,020.54	41,156.01	43,970.80	46,481.47	53,066.36
LLPR	1.82%	2.21%	1.80%	2.05%	2.01%	1.82%

Trend Analysis: The loan loss provision ratio shows a gradual decline over much of the period, indicating improving asset quality and reduced need for incremental provisioning. In recent years, the ratio stabilises, suggesting a normalisation of provisioning requirements as the loan book expands and credit conditions stabilise.

Implications: A declining and stable loan loss provision ratio implies that City Union Bank perceives lower underlying credit risk in its advances portfolio. This supports profitability by reducing the drag of provisions on earnings while still maintaining adequate buffers. For regulators and investors, such trends signal improving loan book quality and disciplined risk assessment. From a strategic perspective, maintaining an appropriate provision ratio is essential to balance risk and return. Under-provisioning could expose the bank to future shocks, while excessive provisioning may unnecessarily suppress profits. City Union Bank's provisioning pattern suggests a cautious but balanced approach to credit risk management.

7.12 Liquidity Coverage Ratio (LCR)

The Liquidity Coverage Ratio (LCR) is a regulatory liquidity metric introduced under the Basel III framework to ensure that banks maintain an adequate stock of high-quality liquid assets (HQLA) to withstand a short-term liquidity stress scenario. It measures a bank's ability to meet net cash outflows over a 30-day horizon. Unlike other ratios in this study, LCR is not calculated by the analyst but is disclosed directly by the bank in its Basel III regulatory statements. An LCR above 100 per cent indicates compliance with regulatory requirements and reflects strong short-term liquidity resilience.

Particulars	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025
Liquidity Coverage Ratio (LCR)	234.34%	271.03%	227.27%	230.37%	268.84%	130.02%

Trend Analysis: City Union Bank's LCR remains consistently above the regulatory minimum of 100 per cent throughout the period under study. While the ratio exhibits year-to-year fluctuations, it stays comfortably above the threshold, indicating adequate liquidity buffers even during periods of monetary tightening and changing funding conditions. The trend suggests a stable liquidity position rather than aggressive liquidity deployment.

Implications: A consistently high LCR has important implications for City Union Bank's financial stability. It indicates that the bank is well-positioned to meet short-term obligations arising from deposit withdrawals or funding market stress without resorting to distress asset sales. From a regulatory perspective, sustained compliance with LCR norms strengthens supervisory confidence and reduces the likelihood of liquidity-related intervention. For depositors, a strong LCR enhances confidence in the bank's ability to honour withdrawals even during periods of financial stress. Strategically, maintaining a high LCR reflects a conservative liquidity management approach. While excess liquidity can moderate profitability by tying up funds in low-yield assets, it also provides resilience and flexibility. Going forward, City Union Bank will need to balance liquidity safety with profitability considerations, particularly in an environment of competitive deposit pricing.

7.13 Equity Ratio

The Equity Ratio measures the proportion of a bank's total assets financed by shareholders' equity. It reflects the degree of financial leverage and provides insight into the bank's capital strength from a balance-sheet perspective. A higher equity ratio indicates lower reliance on borrowed funds and greater loss-absorbing capacity, while a lower ratio implies higher leverage. In banking, where leverage is inherently high, the equity ratio complements regulatory capital measures by offering a simple view of capital adequacy.

Particulars	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025
Shareholder's Equity	5,296.06	5,842.47	6,585.70	7,457.21	8,401.43	9,466.61
Total Assets	49,733.53	53,311.68	61,530.91	66,594.56	70,825.86	77,623.21
Equity Ratio	10.65%	10.96%	10.70%	11.20%	11.86%	12.20%

Trend Analysis: The equity ratio of City Union Bank shows a gradual improvement over the six-year period, reflecting steady growth in net worth relative to total assets. This indicates that equity has expanded broadly in line with or faster than balance-sheet growth, suggesting conservative leverage management.

Implications: An improving equity ratio strengthens City Union Bank's ability to absorb unexpected losses and enhances overall balance-sheet resilience. From a regulatory and depositor perspective, a higher equity buffer reduces solvency risk and increases confidence in the bank's financial stability. Strategically, a strong equity ratio allows the bank greater flexibility in managing future growth and complying with evolving capital requirements. However, higher equity financing may moderate return on equity, highlighting a trade-off between stability and shareholder returns.

7.14 Equity Multiplier

The Equity Multiplier measures the extent to which a bank uses leverage to finance its assets and is calculated as total assets divided by shareholders' equity. It reflects the amplification effect of leverage on returns to equity holders. While higher leverage can enhance ROE during profitable periods, it also increases vulnerability to losses. Therefore, the equity multiplier is a key indicator of financial risk and capital structure in banking.

Particulars	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025
Total Assets	49,733.53	53,311.68	61,530.91	66,594.56	70,825.86	77,623.21
Shareholder's Equity	5,296.06	5,842.47	6,585.70	7,457.21	8,401.43	9,466.61
Equity Multiplier	9.39	9.12	9.34	8.93	8.43	8.20

Trend Analysis: The equity multiplier shows a declining or stable trend over the period, indicating a reduction in leverage as equity growth keeps pace with asset expansion. This suggests a cautious approach to balance-sheet management rather than aggressive leverage-driven growth.

Implications: A declining equity multiplier implies lower financial leverage and reduced risk exposure. This enhances the bank's resilience to asset quality shocks and earnings volatility. From a strategic perspective, lower leverage aligns with City Union Bank's conservative business model and emphasis on stability. However, reduced leverage may also constrain ROE growth, requiring the bank to rely more on operational efficiency and asset quality improvements to sustain shareholder returns.

COMPARISON OF CITY UNION BANK WITH TRENDS IN THE INDIAN BANKING SECTOR

(Based on RBI Report, 2023-24)

8.1 Profitability Trends

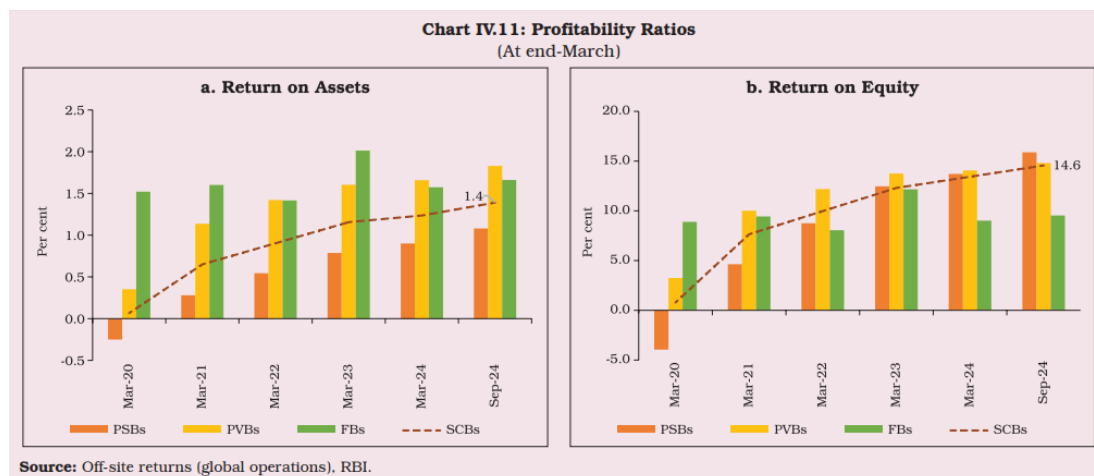


Figure 1: Return on Assets (ROA) and Return on Equity (ROE) of Scheduled Commercial Banks by Bank Group

The RBI's Report on Trend and Progress of Banking in India, 2023–24 highlights a sustained improvement in profitability across Scheduled Commercial Banks (SCBs), with notable variation across bank groups. As shown in the RBI's profitability indicators, both Return on Assets (ROA) and Return on Equity (ROE) improved across Public Sector Banks, Private Sector Banks and Foreign Banks, reflecting post-pandemic recovery, lower credit costs and stronger operating performance. Private Sector Banks, in particular, continued to outperform PSBs in terms of profitability, indicating better asset quality and operational efficiency.

City Union Bank's profitability performance broadly aligns with the trends observed for Private Sector Banks. As reflected in the ratio analysis, the bank recorded a steady improvement in ROA and ROE from FY2020 onwards, consistent with the system-wide recovery highlighted by the RBI. The improvement was supported by higher net profits, moderation in credit costs and disciplined cost management during the recovery phase. However, compared to the aggregate performance of the private banking group, City Union Bank's profitability growth has been relatively stable and less volatile. While the RBI data show sharp improvements in ROE for some private banks, City Union Bank's ROE moderates in recent years as equity growth keeps pace with asset expansion. This suggests a cautious capital strategy and a preference for balance sheet strength over aggressive return maximisation.

Overall, City Union Bank's profitability trends reinforce the RBI's assessment of a structurally improving banking sector, while highlighting the bank's conservative and sustainable approach to profitability within the private sector banking landscape.

8.2 Asset Quality and Provisioning

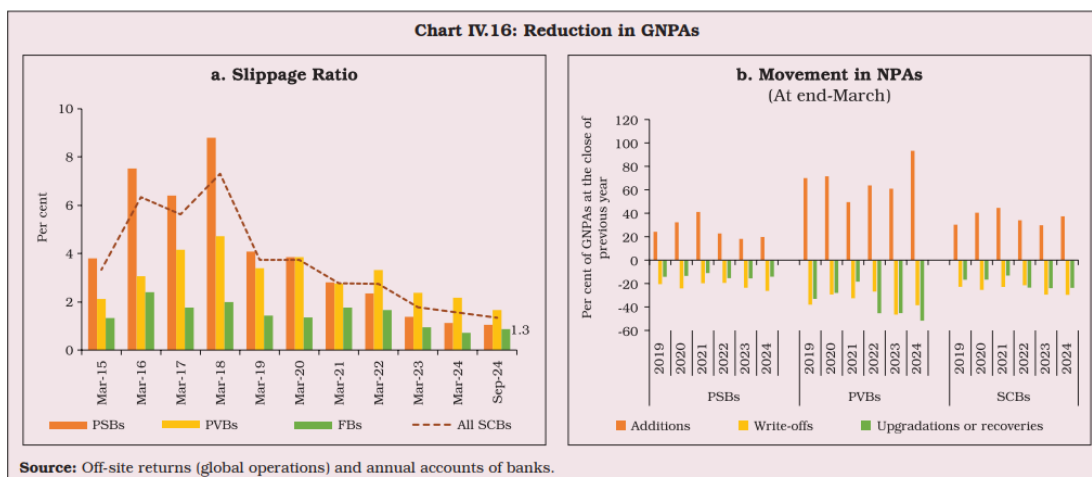


Figure 2: Reduction in Gross Non-Performing Assets of Scheduled Commercial Banks

The RBI's Report on Trend and Progress of Banking in India, 2023–24 highlights a significant and broad-based improvement in asset quality across Scheduled Commercial Banks (SCBs). As illustrated in the reduction in GNPA's, the decline in stressed assets has been driven by a combination of lower fresh slippages, higher recoveries and sustained write-offs. The RBI notes that improved underwriting standards, resolution of legacy stressed assets and favourable macroeconomic conditions contributed to this trend. Private sector banks, in particular, exhibited stronger asset quality outcomes compared to public sector banks, reflecting tighter credit monitoring and faster resolution mechanisms.

City Union Bank's asset quality trends are consistent with these system-wide improvements. As shown in the ratio analysis, the bank recorded a steady decline in both Gross NPA and Net NPA ratios over the period under study. The improvement was supported not only by moderation in slippages but also by effective recoveries and write-offs, aligning with the RBI's observation that balance-sheet clean-up played a crucial role in reducing NPAs across bank groups. The declining Net NPA ratio further indicates that provisioning increased faster than the accumulation of stressed assets, reducing residual credit risk on the balance sheet.

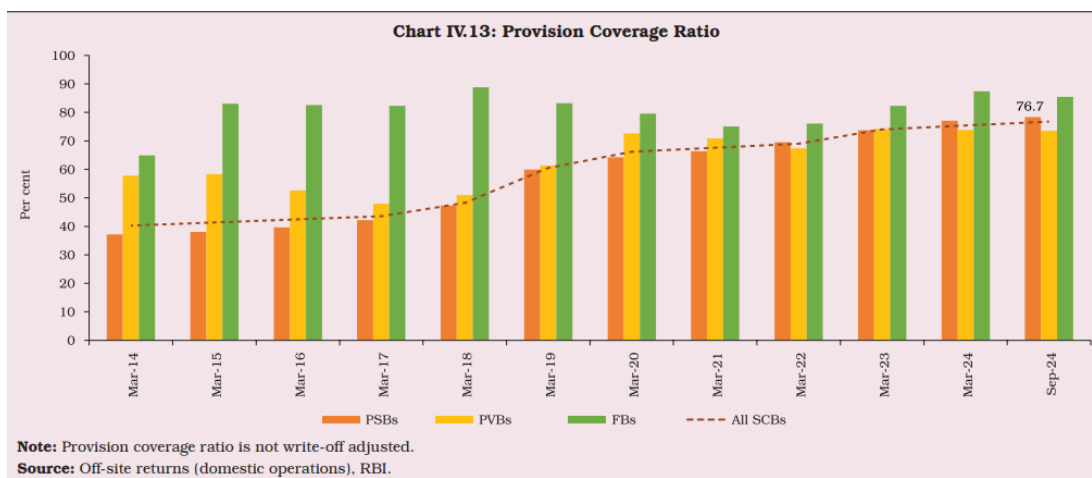


Figure 3: Provision Coverage Ratio of Scheduled Commercial Banks by Bank Group

The RBI report also emphasises a sustained strengthening of provisioning buffers, as reflected in the rising Provision Coverage Ratio (PCR) across SCBs. Higher PCR levels indicate that banks have proactively built loss-absorbing buffers against potential credit deterioration. The RBI notes that improved profitability and recoveries enabled banks to maintain strong provisioning without significantly impairing earnings. Private sector banks continued to maintain higher PCR levels relative to the system average, reinforcing their balance-sheet resilience.

City Union Bank's provisioning behaviour mirrors this system-wide trend. The bank's PCR improved over the study period, indicating a conservative and forward-looking approach to credit risk management. Higher provisioning relative to gross NPAs reduces the likelihood that future stress will materially affect profitability or capital adequacy. In combination with declining GNPA and NNPA ratios, the strengthening of provisioning buffers suggests that City Union Bank has significantly enhanced its asset quality profile in line with the broader improvements observed in the Indian banking sector.

Overall, the asset quality and provisioning trends of City Union Bank reinforce the RBI's assessment of a structurally healthier banking system. The bank's declining NPAs, strong recoveries and improving provisioning coverage indicate prudent credit risk management and position it well to withstand potential future shocks, even in a less benign economic environment.

8.3 Efficiency and Productivity

The RBI's Report on Trend and Progress of Banking in India, 2023–24 notes a steady improvement in operational efficiency and staff productivity across Scheduled Commercial Banks. The RBI attributes these gains to increased adoption of digital banking channels, rationalisation of branch networks and improved process automation. As a result, banks were able to expand business volumes without a proportionate increase in employee strength, leading to improved productivity indicators at the system level.

City Union Bank's efficiency indicators are broadly consistent with these system-wide developments. As observed in the ratio analysis, the bank recorded a steady increase in business per employee over the study period, indicating improved utilisation of human resources. Growth in deposits and advances outpaced the increase in employee numbers, suggesting that the bank was able to scale its operations efficiently while leveraging technology and process improvements. Profit per employee also showed a positive trend, reflecting not only higher business volumes but also improved profitability and cost control. This aligns with the RBI's observation that efficiency gains across banks were supported by better asset quality and lower credit costs, which allowed a greater share of operating income to translate into net profits.

Overall, City Union Bank's efficiency and productivity trends reinforce the RBI's assessment of improving operational performance in the banking sector. The bank's ability to enhance productivity without aggressive workforce expansion reflects a balanced approach to growth and efficiency, consistent with its conservative business model and focus on long-term sustainability.

8.4 Liquidity and Capital Strength

Table IV.8: Leverage Ratio and Liquidity Coverage Ratio

(in Per cent)

	Leverage Ratio				Liquidity Coverage Ratio			
	Mar-22	Mar-23	Mar-24	Sep-24	Mar-22	Mar-23	Mar-24	Sep-24
1	2	3	4	5	6	7	8	9
PSBs	5.1	5.5	6.0	6.0	155.8	153.5	129.3	127.4
PVBs	9.7	9.6	9.7	10.0	127.7	127.9	127.1	126.1
FBs	11.0	11.0	10.8	10.6	171.0	154.6	145.0	142.6
All SCBs	7.2	7.4	7.8	7.9	147.1	144.6	130.3	128.6

Source: Off-site returns (global operations), RBI.

Table 1: Leverage Ratio and Liquidity Coverage Ratio of Scheduled Commercial Banks

The RBI's Report on Trend and Progress of Banking in India, 2023–24 highlights a strong liquidity and capital position of Scheduled Commercial Banks (SCBs), as reflected in consistently high Liquidity Coverage Ratios (LCRs) and stable leverage ratios. As shown in the RBI data, LCR levels for all bank groups remained well above the regulatory minimum of 100 per cent throughout the period, indicating adequate buffers of high-quality liquid assets to withstand short-term liquidity stress. While LCR levels moderated in recent years due to tighter liquidity conditions, they continued to remain comfortably above the prescribed threshold.

City Union Bank's liquidity position aligns with these system-wide trends. As observed in the ratio analysis, the bank consistently maintained LCR levels significantly above the regulatory requirement, reflecting a conservative approach to liquidity management. This indicates that City Union Bank prioritised short-term solvency and depositor confidence, even at the cost of holding relatively lower-yield liquid assets. The RBI data also show that leverage ratios across bank groups remained stable, indicating adequate capital buffers relative to total exposures. Private Sector Banks, in particular, maintained higher leverage ratios compared to public sector banks, reflecting stronger capital positions. City Union Bank's capital structure indicators, including its equity ratio and equity multiplier, are consistent with this broader pattern of prudent leverage management within the private banking segment.

Overall, City Union Bank's liquidity and capital strength reinforce the RBI's assessment of a resilient banking system. The bank's strong liquidity buffers and cautious leverage profile enhance its ability to absorb funding shocks and support sustainable growth, particularly in an environment of evolving regulatory norms and uncertain macroeconomic conditions.

OVERALL ASSESSMENT OF CITY UNION BANK

An overall assessment of City Union Bank over the period under study indicates a steady strengthening of its financial performance and balance sheet resilience. The bank navigated the post-pandemic recovery phase with a cautious yet effective approach, focusing on improving asset quality, strengthening provisioning buffers and maintaining high liquidity levels. This strategy allowed the bank to improve profitability without compromising financial stability, aligning well with the broader trends observed in the Indian banking sector.

From a profitability perspective, City Union Bank recorded a gradual improvement in key indicators such as Return on Assets and Return on Equity, supported by rising net profits and controlled operating costs during much of the period. While profitability growth moderated in recent years, this reflects a conscious emphasis on capital strengthening rather than a deterioration in performance. Compared to larger private sector banks, City Union Bank exhibited lower volatility in returns, highlighting its conservative business model and focus on sustainability.

The bank's asset quality performance represents one of its key strengths. A consistent decline in Gross and Net NPA ratios, combined with improving provision coverage, indicates effective credit risk management and successful resolution of stressed assets. The improvement mirrors system-wide trends highlighted by the RBI but also underscores the bank's disciplined lending practices and emphasis on secured advances. Strong provisioning buffers further enhance the bank's ability to absorb potential future shocks.

In terms of efficiency and productivity, City Union Bank demonstrated an ability to scale business volumes without proportionate increases in manpower, resulting in higher business and profit per employee. This suggests effective utilisation of human resources and increasing reliance on technology and process improvements. At the same time, the recent rise in the cost-to-income ratio points to emerging cost pressures, possibly arising from investments in digital infrastructure, compliance and expansion initiatives.

Liquidity and capital strength remain key pillars of City Union Bank's financial profile. The bank consistently maintained Liquidity Coverage Ratios well above regulatory requirements, reflecting a conservative approach to liquidity management. Its capital structure indicators also suggest prudent leverage management, enhancing resilience and regulatory comfort. While such conservatism may limit aggressive return enhancement, it supports long-term stability and depositor confidence.

Overall, City Union Bank emerges as a stable and conservatively managed private sector bank that prioritises balance sheet strength and risk containment over rapid expansion. Its performance over the study period reflects a balanced approach to growth, profitability and stability, positioning the bank favourably in an environment of evolving regulatory norms and economic uncertainty.

CONCLUSION

This report examined the financial performance of City Union Bank over the period from FY2020 to FY2025 through a detailed ratio-based analysis and a comparative assessment with system-wide trends reported by the Reserve Bank of India. The analysis covered key dimensions of banking performance, including profitability, asset quality, efficiency, provisioning, liquidity and capital structure, with the objective of evaluating the bank's financial health and operational resilience over time.

The findings of the study indicate that City Union Bank experienced a steady improvement in its financial performance during the post-pandemic period. Profitability strengthened gradually, supported by declining credit costs, improved asset quality and controlled operating expenses. While the pace of improvement moderated in recent years, this was largely attributable to a conscious emphasis on balance sheet strengthening rather than a deterioration in performance. Asset quality emerged as a key area of strength, with consistent reductions in Gross and Net NPAs and improved provision coverage reflecting effective credit risk management and successful resolution of stressed assets. Efficiency indicators also improved, as growth in business and profit per employee pointed to better utilisation of human and technological resources. At the same time, rising operating costs in recent years suggest emerging pressures that will require careful management to sustain efficiency gains. The bank's strong liquidity position and prudent capital structure further enhanced its resilience, aligning closely with the broader trends highlighted in the RBI's assessment of the Indian banking sector.

Overall, City Union Bank emerges from this analysis as a stable and conservatively managed private sector bank that has successfully balanced growth, profitability and risk management. Its cautious approach to leverage, strong liquidity buffers and improving asset quality position it well to withstand future economic uncertainties. Sustaining profitability while managing cost pressures and preserving asset quality will be crucial for maintaining long-term financial stability and competitiveness in an evolving regulatory and economic environment.